EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Baggao was once a barrio of Amulung. It became a Municipality on November 27, 1896 by a Royal Decree.

For more than 95 years, since it was separated from its mother town Amulung, the Municipal Government of Baggao has been seated at the Centro or Poblacion. The Poblacion or Centro founded almost a century ago is no longer the center today. Basing on the context of "ripple effect" approach of development, the present site of the Municipal Government of Baggao has already become misplaced and unstrategically located as its pivotal role of or equal government services and opportunities has already waned. The present town site in fact is causing upsurge of factionalism due to the desire of the people to split the municipality into two.

Pursuant to Republic Act 7160, otherwise known as the Local Government Code of 1991, the Municipality, like other local government units, enjoys total independence in managing, deciding and planning its own administrative, fiscal and development affairs in conformity with the national governments' thrust for sustainable social and economic growth.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Baggao, Cagayan for CY 2018 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Baggao, Cagayan for the year ended December 31, 2018, with comparative figures for CY 2017, are as follows:

Particulars	2018	2017	Increase (Decrease)
Financial Condition			
Total Assets	P725,676,183.36	P611,189,124.85	P114,487,058.51
Total Liabilities	155,140,467.34	102,087,324.99	53,053,142.35
Total Government Equity	570,535,716.02	509,101,799.86	61,433,916.16

Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	319,017,865.91	302,503,338.12	16,514,527.79
Total Expenses (Includes Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations	262,766,243.31	199,414,998.93	P63,351,244.38
b) Appropriations, Allotments and Obligations:			
Appropriations-Current	P347,374.045.73	P329,880,040.98	P17,494,004.75
Appropriations-Continuing	126,605,264.86	75,644,450.58	50,960,814.28
Allotments – Current	347,374.045.73	329,880,040.98	17,494,004.75
Allotments –Continuing	126,605,264.86	75,644,450.58	50,960,814.28
Obligations – Current	246,106,681.26	197,872,134.78	48,234,546.48
Obligations -Continuing	33,246,048.81	29,346,325.67	3,899,723.14

	2018	**2017**	**Increase (Decrease)**
Funds Received from Other Agencies			
NGAs	P32,410,097.95	P 19,342,233.81	P 13,067,864.14
LGUs	3,000,000.00	1,048,000.00	1,952,000.00
NGO/POs	-	217.00	(217.00)
Others	-	-	-
Total	P 35,410,097.95	P 20,390,450.81	P 15,019,647.14
Funds Transferred to Other Agencies			
NGAs	P 1,521,570.00	P 553,300.00	P 968,270.00
LGUs	594,000.00	656,000.00	(62,000.00)
NGO/POs	137,500.00	382,000.00	(244,500.00)
Others	69,800.00	-	69,800.00
Total	**P 2,322,870.00**	**P 1,591,300.00**	**P 731,570.00**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Baggao for the year-ended December 31, 2018 due to the following:

1. The reliability and existence of Property, Plant and Equipment (PPE) account, with a carrying amount of P227,971,870.42, could not be ascertained due to the non-conduct of physical count of some PPE accounts, incomplete details of Report on Physical Count of Property, Plant and Equipment (RPCPPE) and failure to maintain PPE Ledger Cards and Property Cards by the Accounting Office and General Services Office (GSO), respectively, which are not in consonance with the provisions of the Manual on New Government Accounting System (NGAS) for Local Government Units (LGUs), Volume 1.

2. The accuracy and completeness of the Construction in Progress (CIP) account totaling to P137,843,410.64, could not be ascertained due to the absence of subsidiary ledgers that would support the previous year's balance, which is inconsistent with Sections 111 and 114 of Presidential Decree (PD) 1445.

3. The validity and reliability of the reported Due to NGAs and Due to LGUs accounts amounting to P17,710,202.89 and P981,819.38, respectively, are doubtful due to the absence of subsidiary ledgers or any document that would support said accounts, thereby affecting the balances presented in the financial statements.

4. The validity and reliability of the balance of Accounts Payable account in the Financial Statements, with a total amount of P17,013,769.10, could not be ascertained due to the unreconciled balance from its supporting schedule by P932,965.21 and the non-submission of supporting documents establishing the said claims with the LGU.

D. Summary of Significant Observations and Recommendations:

The following are the Audit Team's significant audit observations and recommendations, which were discussed with the concerned Management officials in an exit conference conducted on April 17, 2019:

1. The existence, reliability and accuracy of Local Road Networks, with a carrying amount of P9,230,723.48, could not be ascertained due to the following: (a) Non-conduct of physical count of its Local Road Networks; (b) The components of each local road, including its cost and description were not properly identified, segregated and recognized; and (c) Reports required under COA Circular 2015-008 to support the Local Road Networks were not prepared, kept and maintained. Thus, not in consonance with the provisions of COA Circular 2015-008.

   We recommended that the Local Chief Executive enjoin the responsible officials to comply with the accounting and reporting requirements of COA Circular 2015-008 for the fair presentation of the account Infrastructure assets in the financial statements.

2. The accuracy and reliability of the receivable accounts for Real Property Tax and Special Education Tax, totaling to P7,511,861.00, could not be ascertained due to the absence of General Ledgers that would support their balances and the non-submission of a duly certified list showing the name of taxpayers and the amount due and collectible for the year, which is not in consonance with Sections 111 and 114 of Presidential Decree (PD) 1445.

   We recommended that the Municipal Accountant maintain and make available the General Ledgers of the RPT and SET Receivable accounts and the duly

certified list showing the name of taxpayers and the amount of tax due and collectible for the year that would support the balances of the related receivable accounts in the Financial Statements.

3. The Local Disaster Risk Reduction Management Fund Investment Plan (LDRRMFIP) for the allocation and utilization of the unexpended balance of the Local Disaster Risk Reduction Management Fund (LDRRMF) transferred to the Special Trust Fund was not prepared and the monthly utilization reports of the LDRRMF for CY 2018 were not submitted as required under COA Circular No. 2012-002. Thus, the propriety of charges from the fund for the disaster risk reduction and management activities could not be easily ascertained.

   We recommended to the Management the following: (a) Require the MDRRMC to prepare the LDRRMFIP by adopting the prescribed format in the Annex A of the COA Circular 2012-002; (b) Require the MDRRMC to review and update annually the LDRRMFIP to include activities to be funded from the unexpended QRF and DRRMF-MOOE of the previous years, which were transferred to the Special Trust Fund; (c) Require the Municipal Accountant to prepare and certify as correct the Monthly Report on Sources and Utilization of DRRMF using the prescribed format in Annex B of the aforementioned Circular; and (d) Require the MDRRO to submit to the Auditor the report on or before the 15th day after the end of each month through the LDRRMC and LDC.

4. There is a minimal decrease in the long outstanding receivables arising from the unrestituted cash shortage and loans for a livelihood program, amounting to P917,733.51 and P1,883,744.00, respectively, which may indicate low collection efficiency of the LGU on the said receivables. Hence, additional income to finance programs/projects of the LGU was not realized during the year.

   We recommended that the Management make an extra effort to recover the cash shortage and intensify their collection efforts in the uncollected receivables under the livelihood program. Likewise, we recommended that the Municipal Accountant issue demand letters to the inactive recipients. Moreover, analyze the accounts that are dormant and long outstanding and may request for the write-off of the dormant Receivable accounts, except for the receivable arising from cash shortage, as prescribed in COA Circular 2016-005 to present fairly the accounts in the financial statements.

5. The accounts of the Municipality were not submitted within the period prescribed under COA Circular No. 2009-006, thereby causing the delay in the audit of the transactions.

We recommended that the Municipal Accountant facilitate the submission of the complete accounts of the Agency within the prescribed period in compliance with COA Circular No. 2009-006. Moreover, the agency officials concerned should identify the reasons for the delayed submission of accounts and take necessary actions to address the same to ensure compliance with the provisions of COA Circular No. 2009-006.

E. Summary of total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	-	-	-	-	-
Charges					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	-	-	-	-	-

F. Status of Implementation of Prior Years' Audit Recommendations

Out of the 15 audit recommendations in the 2017 Annual Audit Report, six (6) were implemented, four (4) were partially implemented and five (5) were not implemented and reiterated in Part II of this Report.